Kunming initiative to create infrastructure connectivity and developmental cooperation among Bangladesh, China, India, and Myanmar (BCIM). It initiated the development of Gwadar port in 1998, which was later integrated with the China–Pakistan Economic Corridor (CPEC), announced formally in 2014. China had also lent strong support to Sri Lanka in its fight against the Tamil insurgency. One Belt One Road (OBOR), first announced by President Xi Jinping in 2013, could also not have gone unnoticed by Indian policy makers and leadership, though its various components and the South Asia dimension unfolded in the following years. These Chinese moves were seen as posing a serious challenge to India's strategic space in the region that needed protection and consolidation. We shall come to this point again later.

Reality catches up with sentiment

Soon after its initiation, India's "neighbourhood first" policy registered a setback as a result of the failure to get Pakistan on board. In the face of Pakistan's continued interventions in Kashmir through the separatist Hurriyat leaders, its violations of ceasefire on the Line of Control, and its persistent use of cross-border terrorism and in anticipation of tough resistance from Pakistan to the connectivity proposals, Modi was ready to abandon both Pakistan and SAARC. In his address to the November 2014 summit, he said:

> There is a new awakening in South Asia, a new recognition of inter-linked destinies; and a new belief in shared opportunities. This bond will grow. *Through SAARC or outside it. Among us all or some of us. We can all chose our paths to our destinations*. But when we join our hands and walk in step, the path becomes easier, the journey quicker and destination nearer.[8]
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> *(emphasis added)*